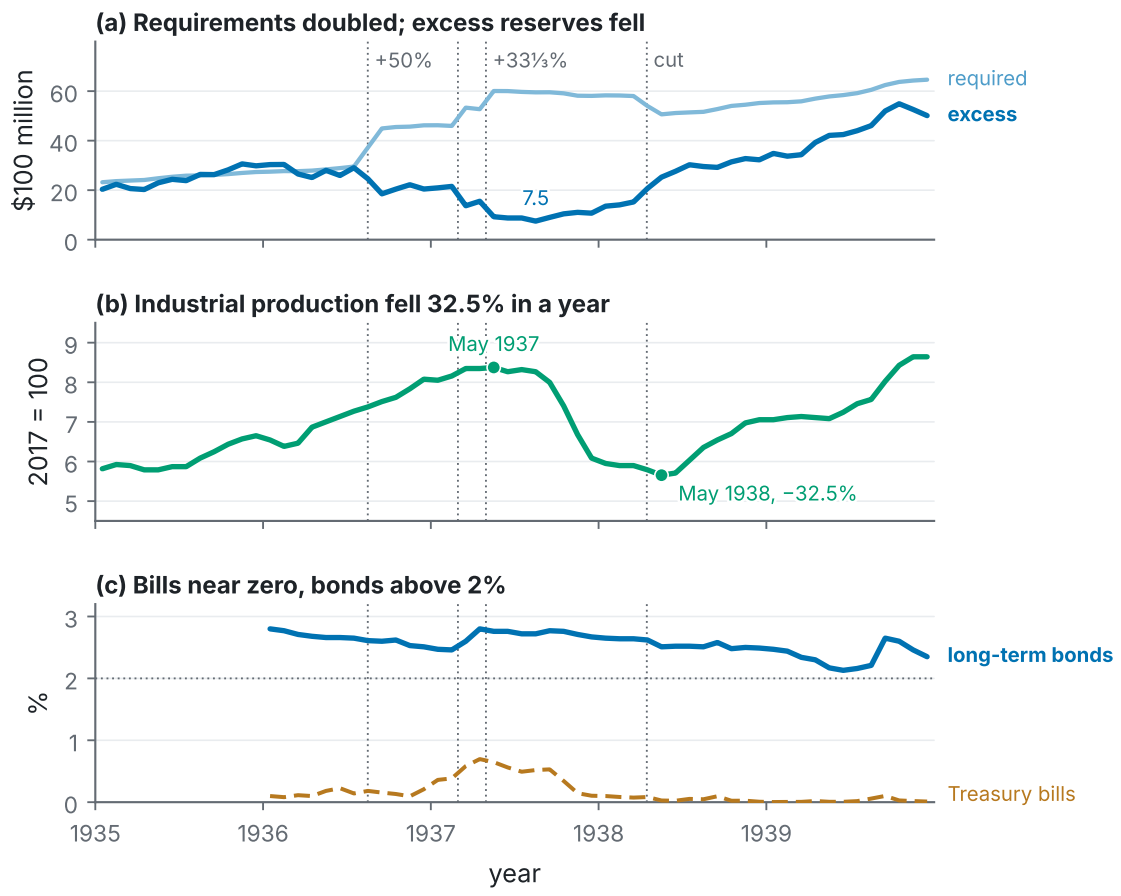
(a) Requirements doubled; excess reserves fell
+50%
+33⅓%
cut
required
excess
7.5
$100 million
60
40
20
0
(b) Industrial production fell 32.5% in a year
May 1937
May 1938, −32.5%
2017 = 100
9
8
7
6
5
(c) Bills near zero, bonds above 2%
long-term bonds
Treasury bills
%
3
2
1
0
1935
1936
1937
1938
1939
year